

Task 7 Business Insights and Recommendations

1. Top 5 Business Insights

- **1. Significant Revenue Loss from Order Drop-offs:**

41.42% of total orders (497 out of 1,200) ended in either **Cancelled** (250) or **Returned** (247) status. This results in **\$519,673.91 in lost gross revenue** (~41.09% of all potential sales), representing the business's largest operational bottleneck.

- **2. Unit Price Drives High Order Values:**

Order value is primarily driven by unit price ($r = 0.72$) rather than volume ($r = 0.62$). High-ticket products like **Chairs**, **Printers**, and **Laptops** account for the largest revenue shares (\$195.6K, \$195.6K, and \$192.1K respectively).

- **3. Credit Card Users Yield Highest AOV:**

Transactions paid via **Credit Card** yield the highest Average Order Value at **\$1,127.55**, compared to **Debit Card** payments which average **\$1,001.56**. Premium/bulk purchasers lean towards credit options.

- **4. Instagram is the Dominant Acquisition Channel:**

Social media and direct digital channels drive the majority of revenue, with **Instagram** leading all sources at **\$275,285.45** in generated sales, followed by **Email** (\$261,808.55).

- **5. Low Fulfillment Rate Limits Net Realized Revenue:**

Out of \$1,264,761.96 in total gross bookings, only **\$242,600.32 (19.18%)** was successfully **Delivered**, with the remaining orders stalled in Pending or Shipped stages or lost to cancellations.

2. Performance Area Breakdown

Performance Level	Area / Category	Key Metrics & Observation
High Performing	Product Categories	Chairs, Printers, and Laptops combined generate over \$583,000 in revenue.
High Performing	Marketing Channels	Instagram & Email Marketing generate \$537,094.00 (~42.5% of gross revenue).
Low Performing	Order Fulfillment	41.42% Cancellation/Return Rate severely undercuts net profitability.
Low Performing	Referral Acquisition	Word-of-Mouth/Referral Traffic lags behind with \$226,815.58 in revenue.

3. Data-Driven Business Recommendations

- **Recommendation 1: Optimize Post-Checkout Fulfillment & Return Prevention**
 - **Action:** Implement real-time order tracking notifications, audit logistics delivery timelines, and issue automated pre-shipping confirmation calls/emails for orders exceeding \$1,000.
 - **Expected Impact:** Reducing the return/cancellation rate from 41.42% down to 20% would recover approximately **\$250,000+** in retained revenue.
- **Recommendation 2: Target Higher AOV Digital Channels & Credit Card Incentives**

- **Action:** Reallocate marketing budget toward **Instagram** and **Email campaigns**, while offering co-branded promotions or EMI options for **Credit Card** users to incentivize higher cart volumes during checkout.
- **Expected Impact:** Increases overall Average Order Value (AOV) and accelerates sales conversion on high-margin products like Laptops and Monitors.